L0-2 Investment & Capital Projects

1. Purpose

The **Investment & Capital Projects** value stream defines how RAM grows, enhances, and reshapes its real-estate portfolio through acquisitions, disposals, development, and capital expenditure (CAPEX) projects. This value stream ensures that all investment and project decisions are economically justified, properly governed, and aligned with the approved portfolio strategy and risk appetite.
This section builds directly on **L0-1 Strategy & Portfolio Management** and translates strategic intent into tangible asset growth and enhancement decisions.

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2. Scope

This value stream applies to all investment and capital project activities undertaken by or on behalf of RAM, including:

- Property acquisitions and disposals
- Feasibility studies and due diligence
- Development and capital projects (CAPEX)
- Asset enhancement initiatives

The scope covers the full lifecycle from opportunity identification to project close-out and handover to operations.

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3. Ownership and Accountability

- **Process Owner (L0):** Investment Committee (IC)
- **Executive Sponsor:** Chief Investment Officer (CIO)
- **Key Stakeholders:** Finance, Legal, Asset Management, Property Operations, Corporate Services

Clear ownership ensures that investment decisions are subject to collective governance, while execution accountability is maintained at the appropriate management level.

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4. Applicable Policies

The following policies apply across all L1–L3 activities within this value stream:

- Investment Policy
- Capital Expenditure (CAPEX) Policy
- Delegation of Authority (DoA)

- Risk Management Policy
- Procurement & Contracting Policy
- Project Management Policy
- Records Management Policy

These policies define approval thresholds, financial limits, risk tolerance, procurement rules, and documentation requirements.

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5. L1 Process Overview

The Investment & Capital Projects value stream is decomposed into the following L1 processes:

1. **L1-2.1 Acquisitions & Disposals**
2. **L1-2.2 Feasibility & Due Diligence**
3. **L1-2.3 Development & CAPEX Projects**
4. **L1-2.4 Asset Enhancement**

Each L1 process is governed by this L0 framework and executed through defined L2 procedures and L3 work instructions.

L1-2.1 Acquisitions & Disposals

Description

Manages the identification, evaluation, approval, and execution of property acquisitions and disposals in line with the approved portfolio strategy.

Objectives

- Grow or rebalance the portfolio in line with strategy
- Optimize capital allocation
- Ensure transactions are commercially and legally sound

Inputs

- Approved portfolio strategy
- Market opportunities
- Asset performance data

Outputs

- Approved acquisition or disposal decision
- Executed sale or purchase agreements

RACI

- **R:** Investment Management
- **A:** Investment Committee
- **C:** Finance, Legal, Asset Management
- **I:** Executive Management, Board (as applicable)

KPIs

- Investment IRR
- Transaction cycle time
- Variance vs approved business case

SAP / Digital Enablement

- SAP RE-FX: asset and property master setup
- SAP FI-AA: asset capitalization and retirement

L2 Procedures

L2-2.1.1 Opportunity Identification & Screening

Initial identification and high-level screening of investment opportunities against strategic and financial criteria.

L2-2.1.2 Transaction Approval & Execution

Formal approval and execution of acquisition or disposal transactions.

L3 Work Instructions (Examples)

- Prepare acquisition / disposal business case
- Create or retire asset in SAP RE-FX and FI-AA

Records & Forms: Investment Proposal Template, Transaction Approval Memo

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L1-2.2 Feasibility & Due Diligence

Description

Ensures all investment and project decisions are supported by comprehensive technical, legal, financial, and commercial due diligence.

Objectives

- Identify risks and constraints early
- Validate financial assumptions
- Support informed investment decisions

Inputs

- Proposed investment or project concept
- Preliminary financial models

Outputs

- Due diligence reports
- Feasibility study and recommendations

RACI

- **R:** Investment & Project Teams
- **A:** CIO
- **C:** Legal, Finance, Technical Advisors
- **I:** Investment Committee

KPIs

- Due diligence completion time
- Number of post-investment issues identified

SAP / Digital Enablement

- SAP RE-FX: preliminary asset setup
- Document Management System (DMS): due diligence records

L2 Procedures

L2-2.2.1 Legal, Technical & Financial Due Diligence

L2-2.2.2 Feasibility Analysis & Recommendation

L3 Work Instructions (Examples)

- Complete due diligence checklists
- Upload reports to DMS

Records & Forms: Due Diligence Checklist, Feasibility Report Template

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L1-2.3 Development & CAPEX Projects

Description

Manages the planning, approval, execution, and close-out of development and capital projects.

Objectives

- Deliver projects on time, within budget, and to specification
- Protect asset value and operational continuity

Inputs

- Approved CAPEX budget
- Project scope and specifications

Outputs

- Completed and commissioned assets
- Capitalized project costs

RACI

- **R:** Project Management
- **A:** COO / CIO (per DoA)
- **C:** Finance, Procurement, Operations
- **I:** Investment Committee

KPIs

- Cost variance
- Schedule variance
- Project ROI

SAP / Digital Enablement

- SAP PS: project planning and cost tracking
- SAP FI-AA: capitalization of assets

L2 Procedures

L2-2.3.1 Project Planning & Approval

L2-2.3.2 Project Execution & Monitoring

L2-2.3.3 Project Close-Out & Handover

L3 Work Instructions (Examples)

- Create project in SAP PS
- Capitalize project costs in SAP FI-AA

Records & Forms: CAPEX Approval Form, Project Status Report, Handover Certificate

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L1-2.4 Asset Enhancement

Description

Implements targeted initiatives to improve asset performance, functionality, or value without full redevelopment.

Objectives

- Increase asset income potential
- Extend asset lifecycle
- Improve tenant experience

Inputs

- Asset performance reviews
- Enhancement proposals

Outputs

- Approved enhancement initiatives
- Improved asset performance metrics

RACI

- **R:** Asset Management
- **A:** CIO
- **C:** Operations, Finance
- **I:** Investment Committee

KPIs

- NOI uplift
- Payback period

SAP / Digital Enablement

- SAP PS: enhancement tracking
- SAP RE-FX: asset updates

L2 Procedures

L2-2.4.1 Enhancement Identification & Approval

L2-2.4.2 Enhancement Implementation & Review

L3 Work Instructions (Examples)

- Update asset enhancement records
- Monitor post-implementation performance

Records & Forms: Enhancement Business Case, Performance Review Template

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6. Risk & Control Considerations

- **Investment Risk:** Over-exposure or mispricing of assets
- **Project Risk:** Cost overruns, delays, scope creep
- **Controls:** Stage-gate approvals, independent reviews, budget controls, segregation of duties

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7. Audit & Compliance Notes

- All investment and CAPEX decisions must comply with DoA and IC approvals
- Business cases, due diligence reports, and SAP records constitute primary audit evidence
- Project documentation must be retained in line with records policy

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8. Guidance to Manual Users

- This section governs *decision-making and control*, not day-to-day construction activities
- Always refer to L3 Work Instructions for detailed SAP and procedural steps
- Workflow and BPMN diagrams should be used alongside this text for clarity

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End of L0-2 Investment & Capital Projects Section